

Quarterly Financial Report - Q2 2025

Quarter ended June 30, 2025 | Prepared by the Finance Department | Issued July 18, 2025 | Unaudited

1. Executive Summary

Meridian Tech Solutions Ltd delivered a strong second quarter. Total revenue was \$1,800,000, up 12.5% from \$1,600,000 in Q1 2025 and \$50,000 (2.9%) ahead of the Q2 budget of \$1,750,000. Net income rose to \$255,000 from \$217,500 (+\$37,500, +17.2%).

Operating expenses grew to \$1,045,000, \$50,000 above budget, driven mainly by the product launch event in April and May, one-off legal fees for a patent filing and licensing negotiation, and audit-readiness advisory work.¹ As a result, operating income of \$355,000 finished \$10,000 below the budgeted \$365,000 even though revenue exceeded plan.

2. Financial Highlights

Metric (USD)	Q1 2025	Q2 2025	Change (\$)	Change (%)	Q2 Budget
Total Revenue	\$1,600,000	\$1,800,000	+\$200,000	+12.5%	\$1,750,000
Gross Profit	\$1,240,000	\$1,400,000	+\$160,000	+12.9%	\$1,360,000
Operating Expenses	\$935,000	\$1,045,000	+\$110,000	+11.8%	\$995,000
Operating Income	\$305,000	\$355,000	+\$50,000	+16.4%	\$365,000
Net Income	\$217,500	\$255,000	+\$37,500	+17.2%	n/a
Gross Margin	77.5%	77.8%	+0.3 pts		77.7%
Net Margin	13.6%	14.2%	+0.6 pts		n/a

Source: Meridian Finance, income statement and FY2025 operating budget. Net income budget is not published.

3. Revenue Analysis

Product revenue was \$1,350,000 (Q1: \$1,200,000; +\$150,000, +12.5%) and finished \$40,000 above budget, supported by the release of Meridian Insights 3.0 in May and the addition of new enterprise subscriptions. Services revenue was \$450,000 (Q1: \$400,000; +\$50,000, +12.5%), \$10,000 above budget, reflecting implementation work for customers onboarded during the quarter. Product revenue represented 75% of the total, unchanged from Q1.²

4. Operating Expense Analysis

Total operating expenses increased by \$110,000 (+11.8%) to \$1,045,000. The table below shows the change by line item.

Line item	Q1 2025	Q2 2025	Change (\$)	Q2 Budget	vs Budget
Salaries & Benefits	\$620,000	\$640,000	+\$20,000	\$650,000	-\$10,000
Marketing	\$110,000	\$150,000	+\$40,000	\$120,000	+\$30,000

Line item	Q1 2025	Q2 2025	Change (\$)	Q2 Budget	vs Budget
Software & Licenses	\$60,000	\$78,000	+\$18,000	\$70,000	+\$8,000
Professional Fees	\$40,000	\$62,000	+\$22,000	\$45,000	+\$17,000
Travel & Entertainment	\$25,000	\$35,000	+\$10,000	\$30,000	+\$5,000
Rent & Utilities	\$60,000	\$60,000	-	\$60,000	-
Depreciation	\$20,000	\$20,000	-	\$20,000	-
Total	\$935,000	\$1,045,000	+\$110,000	\$995,000	+\$50,000

Key drivers of the quarter-on-quarter change:

- **Marketing (+\$40,000, +36.4%).** The product launch event organised by Summit Events Ltd cost \$50,000 across two invoices (April 22 and May 16). Media spend with BrightWave Media also rose to \$70,000 from \$60,000 to support the launch campaign. Marketing finished \$30,000 (25%) over budget, the largest overrun in dollar terms.
- **Professional fees (+\$22,000, +55.0%).** Legal fees from Harlow & Finch LLP were \$34,000, including \$25,000 for a patent filing and licensing agreement negotiation. Pemberton Advisory billed \$28,000 for finance advisory and audit-readiness work ahead of the fiscal-year audit. The line finished \$17,000 (37.8%) over budget, the largest overrun in percentage terms.
- **Software and licences (+\$18,000, +30.0%).** Additional seats and modules across CloudSuite Software, DataLens Analytics and SecureNet Systems, each up \$6,000.
- **Salaries and benefits (+\$20,000, +3.2%).** Two engineering hires; the line remained \$10,000 under budget because a further hire started later than planned.
- **Travel and entertainment (+\$10,000, +40.0%).** Customer visits and travel around the product launch (SkyRoute Travel \$21,000; Grandview Hotels \$14,000).

Cost of goods sold

Cost of goods sold was \$400,000 (Q1: \$360,000). Cloud hosting rose +11.9% to \$235,000, slightly slower than revenue growth of 12.5%, which lifted gross margin to 77.8% from 77.5%. Support costs were \$165,000 (+10.0%).

5. Liquidity and Cash Flow

Net cash from operating activities was \$230,000 (Q1: \$202,500), despite a \$75,000 increase in receivables following launch-period billings. Capital expenditure was \$60,000 and the company repaid \$30,000 of its term loan, leaving \$540,000 outstanding. Net cash increased by \$140,000, and cash and equivalents at June 30, 2025 were \$1,167,500 (March 31: \$1,027,500).

Cash flow (USD)	Q1 2025	Q2 2025
Net cash from operating activities	\$202,500	\$230,000
Net cash from investing activities	-\$45,000	-\$60,000
Net cash from financing activities	-\$30,000	-\$30,000
Net change in cash	\$127,500	\$140,000
Ending cash	\$1,027,500	\$1,167,500

6. Risk Factors

- **Customer concentration.** The three largest customers represented 38% of product revenue in Q2. Loss or delayed renewal of any of them would materially reduce revenue and operating income.
- **Cloud cost inflation.** Cloud hosting is the largest component of cost of goods sold. Price increases from infrastructure vendors, or usage growth ahead of revenue, would compress gross margin.
- **Enterprise sales cycles.** Larger deals are taking longer to close. Slippage of signings from Q3 into Q4 would defer product and services revenue.
- **Non-recurring cost pressure.** Q2 operating expenses included one-off launch-event and legal costs. If similar items recur, the H2 opex forecast may be exceeded.
- **Talent retention.** Competition for engineering talent could raise salary costs above the forecast headcount plan.
- **Regulatory and data privacy.** Changes to data-protection rules could require additional legal and compliance spend.

7. Forecast and Key Assumptions (Second Half 2025)

The forecast below was prepared in July 2025 and is a projection, not actual results.³

Forecast (USD)	Q2 2025 Actual	Q3 2025 Forecast	Q4 2025 Forecast
Total Revenue	\$1,800,000	\$1,850,000	\$1,950,000
Gross Profit	\$1,400,000	\$1,433,750	\$1,511,250
Operating Expenses	\$1,045,000	\$1,030,000	\$1,070,000
Operating Income	\$355,000	\$403,750	\$441,250

Assumptions used in the forecast:

- Total revenue grows about 2.8% in Q3 and 5.4% in Q4 quarter-on-quarter, driven by Meridian Insights 3.0 subscriptions and services attached to new enterprise deals.
- Gross margin holds at 77.5%, assuming cloud hosting stays near 13% of revenue and support costs near 9%.
- Marketing spend normalises to about \$130,000 per quarter after the launch; no event of the size of the Q2 launch is planned before the annual customer conference in Q4.
- Legal and advisory fees return to about \$45,000 per quarter once the patent filing and audit-readiness work are complete.
- Headcount increases by five in H2; salaries and benefits grow about 2.5% per quarter.
- Effective tax rate of 25%; no new borrowing; term loan repayments continue at \$30,000 per quarter; interest expense of about \$14,000 per quarter.

Notes

1. Professional fees and marketing overruns are described in Section 4. Overruns above 10% of a quarterly line budget are reported to the CFO in the monthly variance review under the Expense Approval Policy (EAP-FIN-007).

2. Revenue is recognised in accordance with ASC 606. Product subscription revenue is recognised ratably; services revenue is recognised as work is performed.

3. Forecast figures are management estimates and may differ from actual results. They should not be confused with reported actuals for Q3 and Q4 2025.

4. Figures are unaudited and presented in US dollars. Depreciation is calculated on a straight-line basis.